machinery that can produce your cars faster. This in turn will make the company grow faster and increase the capital gains of its stock.

See, with dividends and capital gains, companies usually prefer to give you one or the other; they don't like to give you both. A company that needs to grow to give you that capital gain needs the money. A company like a bank or utility provider that gives you dividends is not interested in putting money into development, and they instead share their profits with you.

It's like a pendulum (see figure 6.1): when you invest in companies or funds, there is usually a dividend versus capital gain tradeoff.

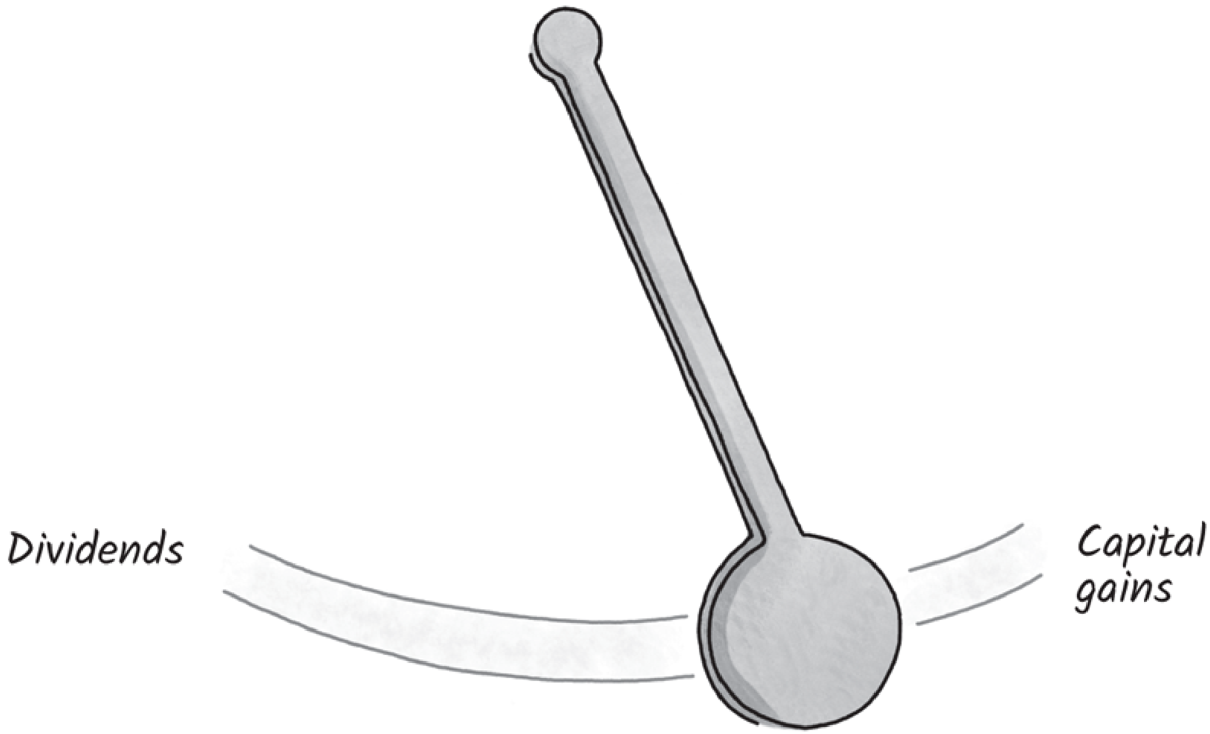

Figure 6.1: dividends or capital gains

Blended funds (the forgotten Jonas brother of the stock market)

There is a third (not so well-known) way to make money in the stock market. It reminds me of the extra Jonas brother: there, but kind of forgotten about (sorry, Frankie). These are called blended funds, and they exist to fix this pendulum problem, aiming to get a healthy mixture of both capital gains and dividends.